

Personal tax

Any UK resident who pays into a savings account, buys shares, or invests in other financial products is subject to tax on income from these activities. Exemptions are made for some groups, such as low earners and minors.

Tax on savings

In April 2016, a new Personal Savings Allowance was put in place, meaning that account holders earn some tax-free income from interest on their savings. Prior to April 2016, building societies and banks deducted the tax at source, and paid the interest net; interest is now paid gross, without any tax deducted.

If your total taxable income is £17,000 you will not pay any tax on savings income. Above that, basic-rate taxpayers can earn £1,000. Higher-rate taxpayers can earn £500, while additional-rate taxpayers, the highest band, have no Personal Savings Allowance and must pay tax on their interest. Income earned from tax-free accounts, such as Individual Savings Accounts (ISAs) and some National Savings and Investment accounts, do not count towards the allowance.

Different rules apply to children's accounts and foreign accounts. Although interest is usually tax-free on children's accounts, if the child's account earns over £100 in interest from money paid in by a parent, the parent will have to pay tax on the interest, if it exceeds their personal allowance. An exception to this rule is if the interest is earned on money given by grandparents, relatives, or friends, or on money in a Junior Individual Savings Account (ISA) or Child Trust Fund.

Money saved in a Junior ISA account is tax free up to a limit of £4,080. In the case of a cash ISA, there is no tax on interest earned. For an ISA invested in stocks and shares, there is no tax payable on any dividends or capital growth. These types of accounts are available to anyone under the age of 18 living in the UK. Junior ISAs have now replaced Child Trust Funds. The Child Trust Funds scheme is now closed, and no further accounts can be opened, but existing ones still benefit from tax-free savings of up to £4,080.

Tax breaks on investments

Income earned from investments is treated like any other income, with the exception of Individual Savings Accounts (ISAs), in which an amount of £15,240 can be saved, tax free, in any single tax year. This money can be deposited into one of three types of ISAs: cash, stocks and shares, or innovative finance. Investors can put it all into one type of ISA or split the total tax-free allowance across two or three types of ISAs. As with Junior ISAs, there is no tax to pay on interest earned in a cash ISA, nor on dividends or capital growth from stocks and shares, or an innovative finance ISA.

Innovative finance ISAs include relatively new types of investments, such as peer-to-peer loans. Other alternative investments are also accompanied by tax breaks. Investors in forestry land, for example, will pay no income tax, capital gains tax, or inheritance tax if they hold on to the forest for a minimum of two years.

Inheritance tax

In the 2015 Budget, the UK Chancellor announced changes to inheritance tax (IHT) that effectively increase the threshold for both single people and married couples (see box). From April 2020, next-of-kin who inherit property will only have to pay inheritance tax if the property is worth more than £500,000. If inheriting from a married couple or from civil partners, this figure increases to £1 million.

The main change to the tax is the introduction of a family home allowance worth £175,000 per person, which, added to the existing allowance of £375,000, makes up the new £500,000 threshold. Once the threshold is exceeded, an IHT rate of 40 per cent is applied. This can be reduced to 36 per cent if 10 per cent or more of the estate's net value is willed